

Employing in Hong Kong

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Employment Ordinance
- **Monthly payroll** — salary payments in HKD, itemised payslips (paid by the last day of the month or within 7 days)
- **MPF enrolment** — Mandatory Provident Fund registration within 60 days of start date
- **Salaries Tax notifications** — employer filing obligations (Hong Kong has no PAYE withholding system)
- **Leave and termination management** — notice periods, entitlements and long-service payment guidance

Employment Conditions

Contracts & Probation

The Employment Ordinance sets minimum standards for almost all employees. There is no statutory minimum or maximum probation period — 3 months is standard, and continuous contracts (4 weeks+, 18+ hrs/week) unlock most statutory benefits.

Item	Detail	Legal Basis
Continuous contract	4+ consecutive weeks, 18+ hours/week — unlocks most statutory benefits	Employment Ordinance, Cap. 57
Probation period	No statutory minimum/maximum; 3 months typical	Employer discretion
MPF enrolment	Within 60 days of employment start	Mandatory Provident Fund Schemes Ordinance

Working Hours & Overtime

Hong Kong has no statutory maximum working hours or mandatory overtime premium for most employees — hours and any overtime pay are set by the employment contract.

Rule	Detail	Authority
Standard hours	Set by contract; commonly 44–48 hrs/week	Employer/contract discretion
Overtime premium	Not statutory — set entirely by the employment contract	Employer/contract discretion
Statutory rest day	At least 1 rest day per 7-day period	Employment Ordinance

Minimum Wage & MPF (2026)

Measure	Rate	Notes
Statutory Minimum Wage	Set by the Minimum Wage Commission, reviewed periodically	Minimum Wage Ordinance
MPF employer contribution	5% of relevant income	Capped at HK\$1,500/month; income band HK\$7,100–\$30,000/month
MPF below minimum threshold	Employer still pays 5%; employee exempt below HK\$7,100/month	Mandatory Provident Fund Schemes Ordinance

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	7–14 days/year (scales with tenure)	Employer	After 12 months under a continuous contract
Sick Leave	Accrues 2–4 days/month, capped at 120 days	Employer (80% of average daily wage)	Requires accumulated paid sick leave days and a medical certificate
Maternity Leave	14 weeks	Employer (80% of average daily wage for 10 weeks, gov't-reimbursable)	Requires 40 weeks' continuous employment before leave
Paternity Leave	5 days	Employer (80% of average daily wage)	Requires continuous contract
Statutory Holidays	13 days/year	Employer	Distinct from (and fewer than) general public holidays

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
MPF employer contribution (5%, capped)	\$150.00	5.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,750.00	~125.0%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. MPF is capped at HK\$1,500/month per side regardless of salary, so its share shrinks rapidly as a % of gross above roughly HK\$30,000/month. Employee deductions (withheld separately) include MPF (5%, same cap) — Hong Kong has no PAYE, so employees file and pay salaries tax directly.

Salaries Tax (Year of Assessment 2026/27)

Hong Kong calculates tax two ways — progressive rates and a standard rate — and charges whichever is lower. Only Hong Kong-sourced income is taxed; there is no PAYE withholding system, though employers must notify the IRD of new hires and leavers.

Method	Rate	Notes
Progressive rates	2% – 17% across 5 bands of HK\$50,000 each	Cheaper for most employees earning under ~HK\$2M/year
Standard rate	15% on the first HK\$5M net income, 16% above	Caps the tax bill for very high earners

Termination & Separation

Notice Periods

Scenario	Notice Required	Key Rule
During probation (first month)	None required	Employment Ordinance
During probation (after first month)	7 days (or as agreed, minimum 7 days)	Employment Ordinance
After probation	As agreed in contract, minimum 7 days (commonly 1 month)	Employment Ordinance

Long Service & Severance Payment

Hong Kong distinguishes between Severance Payment (redundancy) and Long Service Payment (other qualifying terminations after 5+ years) — an employee cannot claim both for the same termination.

Payment Type	Formula	Trigger
Severance Payment	2/3 month's wages per year of service (capped at HK\$390,000)	Redundancy, with 24+ months' continuous service
Long Service Payment	2/3 month's wages per year of service (capped at HK\$390,000)	5+ years' service, dismissal not for misconduct, retirement, or death

★ HERO TIP

Since 1 May 2025, employers can no longer offset Severance/Long Service Payment against the employer's own MPF contributions for post-2025 service — a major cost shift for long-tenured employees. Reassess redundancy and long-service cost projections for any Hong Kong headcount hired or retained beyond that date.

Public Holidays 2026

Hong Kong observes 17 statutory holidays in 2026 (distinct from and additional to the 13 statutory holidays under the Employment Ordinance for rank-and-file staff — most employers follow the general holiday list below).

Date	Holiday	Type
1 January	New Year's Day	General
17–19 February	Chinese New Year (3 days)	General
3–6 April	Good Friday through Easter Monday	General
1 May	Labour Day	General
~May/June	Buddha's Birthday, Tuen Ng (Dragon Boat) Festival	General (lunar calendar)
1 July	HKSAR Establishment Day	General
~September	Day after Mid-Autumn Festival	General (lunar calendar)
1 October	National Day	General
~October	Chung Yeung Festival	General (lunar calendar)
25–26 December	Christmas Day and the day after	General

Lunar and solar-term holidays shift each year — always confirm exact dates against the Hong Kong Government's official gazette closer to the time.

Ready to hire in Hong Kong?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Hong Kong employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).